

**STATE OF VERMONT
OFFICE OF THE SECRETARY OF STATE
PROFESSIONAL REGULATION
BOARD OF ALLIED MENTAL HEALTH PRACTITIONERS**

IN RE: CAROLYN SCOTT

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**Appeal of Preliminary Denial of License
Docket No. 2018-41**

Participating in the Hearing:

William Scarlett, Vice Chair
Jamie Blouin
Scott Giles (Public Member)
Michael Doyle (Public Member, *ad hoc*)

Appearances:

For the State: Maguire Curran, Esq.
Applicant: L. Brooke Dingleline, Esq.

Presiding Officer: George K. Belcher

Exhibits:

Applicant Exhibit 1: Letter of Support, Anne Black, Ph.D., The Warrior Connection

State Exhibit 1: State File of Applicant's Application

P. 1-6 Application
P. 7-8 Disclosure Document
P. 9-12 OPR form information
P. 13-14 Letter of Explanation by Applicant 3/19/18
P. 15-50 Documents concerning criminal conviction

State Exhibit 2: Certified Copies of Criminal Convictions

**FINDINGS OF FACT, CONCLUSIONS OF LAW AND ORDER IN APPEAL OF
PRELIMINARY DENIAL OF LICENSE**

This matter was considered on July 19, 2018. The Applicant, Carolyn Scott, was present and represented by L. Brooke Dingleline, Esq. The State was represented by Maguire Curran, Esq. This matter is the appeal of a preliminary denial of a license under 3 VSA Sec. 129(e). Upon the evidence presented, the Board makes the following findings, conclusions and order.

Findings of Fact

1. The Applicant applied for a registration as a “Nonlicensed, Noncertified Psychotherapist” on March 19, 2018. The status of nonlicensed and noncertified psychotherapist is governed by 26 VSA Chapter 78. The law provides that persons who are registered must disclose to clients that they are not licensed as a psychologist, clinical social worker, mental health counselor, marriage or family therapist or psychoanalyst as they practice psychotherapy. The law also provides that rostered practitioners are subject to established standards of professional conduct and disciplinary procedures. The system also allows for post-graduate supervision prior to full licensing. See 26 VSA Sec. 4082(3) and Administrative Rules of the Board of Allied Mental Health Practitioners, Rule 3.16 Where the term “license” is used in this decision, it may also mean application for and entry upon the roster as a registered Nonlicensed, Noncertified Psychotherapist.
2. The Applicant holds a bachelor’s degree in psychology from Granite State College (2014); and a Master of Arts degree from Southern New Hampshire University in clinical mental health counseling (2017). (Application, State Exhibit 1)
3. The Applicant was denied registration by Notice of Preliminary Denial from the Office of Professional Regulation on April 20, 2018. The preliminary denial notice alleged that the Applicant had been convicted of one count of Mail Fraud and two counts of Aggravated Identity Theft in April of 2005 (sic). The Notice of Denial asserted that the crimes related to money and deceit and that Nonlicensed and Noncertified Psychotherapists are entrusted with “independent financial accounting of client funds.” Moreover, the notice asserted that the convictions are *per se* unprofessional conduct.
4. The Applicant filed a Notice of Appeal on May 23, 2018 and the hearing was scheduled.
5. The Applicant filed a “Letter of Explanation” with her Application which was amplified by her testimony before the Board. Her testimony gave a description of her past crimes. She described how she had cooperated with her husband at the time in a plot to borrow money in the name of a person in order to ruin his credit. This person, according to the testimony of the Applicant, had sexually assaulted her when she was 18 years old and the plot was an effort to bring justice (or revenge) to him. The Applicant rented a U.S. Post Office box by using fake documents as part of the plot to which loan funds were to be sent. The loan funds were fraudulently borrowed, sent, received, collected and deposited into a bank account. The Applicant and her husband were arrested when they attempted to draw funds (\$8,750.00) from the account. (State Exhibit 1) The identity of two different persons were falsely used in the plot.
6. The Applicant was convicted to one count of Mail Fraud and two counts of Aggravated Identity Fraud (Federal felony convictions) for which she was sentenced to and served two years of incarceration as a mandatory penalty. (See State Exhibit 2, Date of Conviction 4/19/2006)
7. The Applicant argued, in summary, that the facts surrounding the convictions constituted a serious mistake on her part and that she has suffered greatly. She argued that she has grown through the experience and that her experience could help her be a better psychotherapist. She asked that the Board not punish her further, but rather, see her value

a person of persistence and resilience, and also see her as a potential contributing professional in society. She argued that she has a passion for helping others and that she has seen, through her experience, people who have gotten caught up in the system. She urged that she has particular sympathy with those who are trying to re-enter society and become productive.

8. The State argued, in part, that the crimes were serious and that no passage of time would reduce their impact upon an application for professional licensure of this sort. The State argued that the application for registration should be denied. In the alternative, the State argued that, if the Board was inclined to grant the registration in this case, then the practice of the Applicant should be strictly conditioned.
9. During the Applicant's testimony she described the difficulty she had finding employment following her conviction and release from incarceration. She testified that job applications which she completed often asked whether she had a criminal record and, if she answered "yes" (that she did have a criminal record), she would not be given an interview. This happened often. As a consequence, she applied for three jobs and did not disclose (or falsely failed to disclose) her criminal record. In this manner she was hired as a spa manager at a resort facility, and as the manager of a T-shirt factory. In June of 2015 she falsely reported that she had no criminal conviction on a job application to HCRS (Health Care Rehabilitation Services) and she was hired. According to her testimony, she planned to inform the management after she was hired, but she did not do so. Someone later informed management about her history of convictions and her employment was terminated because of her false application.
10. She has recently worked for the Vermont Department of Labor as a Work Force Development Supervisor. She has no known criminal record other than the Federal crimes described above.

Conclusions of Law and Discussion

1. Jurisdiction over reviews of preliminary denial of licenses by boards or the director lie with the board or the director. 3 VSA Sec. 129(e).
2. In an appeal of a preliminary license denial, the Applicant has the burden to prove that the preliminary denial should be reversed and that the license should be granted. 3 VSA Sec. 129(e). The Applicant bears the burden to show that the preliminary denial was "in error". Board of Allied Mental Health Practitioners Administrative Rules 1.6(b). (hereinafter cited as "rules")
3. Psychotherapists who are not licensed or not certified are held to established standards for professional conduct within statutes and the administrative rules. (See Rule 5.1)
4. Conviction of a felony is "unprofessional conduct" whether or not related to the practice of the profession (3 VSA Sec. 129a(a)(10)) and this rule applies to nonlicensed and noncertified psychotherapists. Rule 6.4. One of the sanctions available to the Board for violation of the statutes is "denial of licensure or roster entry". Rule 6.5(a)
5. The Applicant has appealed to the discretion of the Board to overlook the criminal conviction and allow her to register despite the past unprofessional conduct.

6. There was no evidence, legal or otherwise, that the preliminary denial of registration was “in error” as described in Rule 1.6(b). Upon that standard, the Appeal of preliminary denial must fail.
7. If the Board has discretion to grant registration despite the criminal convictions, the Board declines (in its discretion) to grant the appeal. The crimes involved were of a serious nature, involving active fraud with mal-intent. Despite the Applicant’s argument that she “went along” with it, the criminal records introduced show that she took an active role and had opportunities over some time to refuse to participate, even under the facts as she described them. In her plea agreement with the government, the Applicant agreed that the government could prove beyond a reasonable doubt that she “... knowingly participated in the scheme or artifice, with knowledge of its fraudulent nature and with intent to defraud”. See State Exhibit 1, Plea Agreement, Paragraph 2((b).
8. It is also problematic that she continued false representations in her post-conviction job applications. On three occasions she was not truthful in job applications. In one instance this caused a job termination as a result of her last false job application (in 2015). This behavior calls into question her judgment surrounding false representations.
9. Many aspects of professional practice require truth-telling as an essential element of the profession (for example, billing, client management, mandatory reporting, etc.) The Applicant’s criminal convictions and post-conviction behavior cause the Board serious concerns for her safe practice with public clients, some of whom may be vulnerable.
10. The relationship of past conduct to present licensing of a professional was addressed in Watson v. State of Maine Commissioner of Banking, 223 A.2d 834 (Me. 1966). In that case an owner of a collection agency was convicted of embezzlement and later applied for a license as a collection agency. After the conviction, a Maine law was passed which required licensure of collection agencies and which prohibited people convicted of embezzlement from being licensed. In discussing the issue the court stated,

The question in each case where unpleasant consequences are brought to bear upon an individual for prior conduct, is whether the legislative aim was to punish that individual for past activity, or whether the restriction of the individual comes about as a relevant incident to a regulation of a present situation, such as the proper qualifications for a profession. (citing Hawker v. People of State of New York, 170 U.S. 189, 18 S.Ct. 573, 79 L. Ed. 1311)
See Watson at page 840.

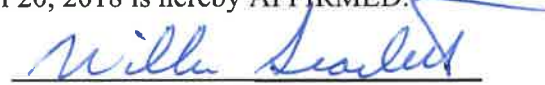
11. The Board in the case now before it has no interest in punishing the Applicant further. The Board was impressed with testimony of the Applicant as to the losses and pain suffered by the Applicant and her family as a result of the conviction. The concerns of the Board relate solely to the protection of the public. See Administrative Rules of the Board of Allied Mental Health Practitioners Rule 1.1(b). If registered (and after disclosure of her unlicensed status to clients) the Applicant could practice psychotherapy without supervision. Given the evidence and the concerns expressed above, the Board is of the view that granting the Application would create a serious risk to the public.

12. Nothing in this decision should be construed or interpreted as de-valuing the strides the Applicant has made in her life to recover from her past crime and conviction.
13. On the facts presented by the Applicant, the Board cannot find that the preliminary denial was in error or that she has borne her burden of proof to show that the preliminary denial should be reversed.
14. Following an appeal and hearing of a preliminary denial of a license, the board or the director shall affirm or reverse the preliminary denial explaining the reasons in writing. 3 VSA Sec. 129(e).

ORDER AFFIRMING THE PRELIMINARY DENIAL LETTER OF JULY 17, 2017

The Office of Professional Regulation letter of Preliminary Denial in this matter dated April 20, 2018 is hereby AFFIRMED.

By:



William Scarlett, Vice Chair
Board of Allied Mental Health Practitioners

Date:

7/6/18

OFFICE OF PROFESSIONAL REGULATION

8-13-2018
Date of Entry

Appeal Rights

This is a final administrative determination by the Board of Allied Mental Health Practitioners. A party aggrieved by a final decision of a board may appeal this decision by filing a written Notice of Appeal with the Director of the Office of Professional Regulation, Vermont Secretary of State, 89 Main St., Fl. 3, Montpelier, VT 056203402 within 30 days of the entry of this Order. If an appeal is filed, the Director of the Office of Professional Regulation shall assign the case to an appellate officer. The review shall be conducted on the basis of the record created before the board. In cases of alleged irregularities in procedure before the board, not shown in the record, proof on that issue may be taken by the appellate officer. 3 V.S.A. §§ 129(d) and 130a.



**STATE OF VERMONT
SECRETARY OF STATE
OFFICE OF PROFESSIONAL REGULATION
BOARD OF ALLIED MENTAL HEALTH**

IN RE:)
Carolyn Scott) **Docket No.**
Application Tracking No. LI-276611)

NOTICE OF PRELIMINARY DENIAL

An application for licensure as a Non-Licensed & Non-Certified Psychotherapist ("Application"), submitted by Carolyn Scott ("Applicant"), was received by the Vermont Office of Professional Regulation on March 19, 2018, and was completed on April 3, 2018. The Application is hereby **Preliminarily Denied** by the State of Vermont for the following reasons:

Board Authority

1. The Vermont Office of Professional Regulation has authority to deny an applicant's license if it finds the applicant has engaged in unprofessional conduct in any jurisdiction. 3 V.S.A. § 129(a); 3 V.S.A. § 129a; 26 V.S.A. Chapter 78; the Administrative Rules of the Board of Allied Mental Health Practitioners; and the Rules of the Office of Professional Regulation.

Basis for Denial

Basis for Denial # 1: 3 V.S.A. § 129a(a)(10) Conviction of a crime related to the practice of the profession or conviction of a felony, whether or not related to the practice of the profession.

2. Through the application process, Applicant disclosed being convicted on April 18, 2005, of one (1) count of Mail Fraud, a felony, in the District of New Hampshire.
3. Through the application process, Applicant disclosed being convicted on April 18, 2005, of two (2) counts of Aggravated Identity Theft, felonies, in the District of New Hampshire.
4. Non-Licensed & Non-Certified Psychotherapists are entrusted with independent financial accounting of client funds.
5. The Applicant's felony convictions are crimes involving money and deceit.

STATE OF VERMONT



Prosecuting Attorney
Office of
Professional Regulation
89 Main Street
3rd Floor
Montpelier, VT
05620-3402

6. A felony conviction is per se unprofessional conduct.

As a result of the foregoing reasons, the Application for licensure is **PRELIMINARILY DENIED**. If you would like this decision to be reviewed please refer to the appeal rights at the bottom of this notice.

DATED in Montpelier, Vermont this 20th day of April, 2018.

STATE OF VERMONT
SECRETARY OF STATE

By:



Maguire Curran
Prosecuting Attorney
(802) 828-1217
Maguire.Curran@sec.state.vt.us

To appeal this preliminary denial, you must file a written appeal with the Docket Clerk within 30 days of the date of this notification. In order to expedite the appellate process, your appeal shall include a statement of issues, that is, why the preliminary denial should be reversed and that the license should be granted.

Please send your appeal to the address below:

Liz Amaral, Docket Clerk
Office of Professional Regulation
89 Main Street, 3rd Floor
Montpelier, VT 05602-3402

A hearing will then be scheduled. The State will be represented by the state prosecutor. At the hearing you will have the burden of showing that this preliminary denial should be reversed and that your license should be granted. 3 V.S.A. §129(e). The tribunal may uphold the denial, in whole, or in part, or may issue an unrestricted license, or may issue a license that is sanctioned. 3 V.S.A. §129(a)(3).

If you do not appeal this preliminary denial it will become final in 30 days. As a final disciplinary decision it will be reported to all required national data banks and shall be public pursuant to 3 V.S.A. §131.

Once the decision is final, it may be appealed pursuant to 3 V.S.A. §130a.

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